their lives in Palestine, they would have the strongest claim to receive this amount from Germany as reparation. It was against the Jewish people that Germany committed its greatest crimes. Jewish losses from Nazi aggression have been (proportionately) incomparably greater than those of any other people.

Yet, if reparations should be apportioned on the basis of military and political power rather than damage and need, Jewish reconstruction may have to borrow the capital that it should receive as reparation. Apart from the private capital included above, the only large lenders, for some years, will be the International Bank for Reconstruction and Development and the public lending institutions of the Government of the United States. In the event of the denial of its reparation claim, Jewish Palestine will have to join borrowed capital from these institutions with its own capital. It will have to secure intermediate-term loans for agriculture and manufacturing equipment and long-term loans for irrigation, power, railroads, ports, etc.

The terms on which capital is provided for Palestinian development during the next decade will have a profound influence on the magnitude of the economic expansion that can be achieved. They will also provide a fundamental test of the good will of the Great Powers in international rehabilitation and reconstruction.

BEYOND THE POSTWAR DECADE

Opportunities for economic progress in Palestine will not have been exhausted at the end of the postwar decade. No natural barrier sets a tight limit to further advances.

At best, at the end of the postwar decade the standard of living of the Arabs of Palestine will still be much lower than that of Jewish Palestine today. Industrial workers' skills, scientific technology and modern management capacity will still be rarities in the Arab community. It will take at least a quarter century to raise Arab standards of health and education to the present Jewish level. The influence of the Jews can accelerate Arab progress, but